

Notations :

- 1.Options shown in green color and with ✓ icon are correct.
- 2.Options shown in red color and with ✗ icon are incorrect.

Change Font Color :	No
Change Background Color :	No
Change Theme :	No
Help Button :	No
Show Reports :	No
Show Progress Bar :	No

Managerial Economics

Section Id :	640653141361
Section Number :	1
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	10
Number of Questions to be attempted :	10
Section Marks :	25
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653398348
Question Shuffling Allowed :	No

Question Number : 1 Question Id : 6406532166285 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS

(COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406537043695. ✓ Yes

6406537043696. ✗ No

Sub-Section Number :

2

Sub-Section Id :

640653398349

Question Shuffling Allowed :

Yes

Question Number : 2 Question Id : 6406532166286 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

For the production function $q = 5L^{1/2} K^{1/2}$

Options :

6406537043697. ✗ Both MPL and MPK are constant

6406537043698. ✗ MPL is increasing but MPK is constant

6406537043699. ✗ MPL is decreasing and MPK is constant

6406537043700. ✓ Both MPL and MPK are decreasing

Question Number : 3 Question Id : 6406532166287 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The Cobb-Douglas production function $F(K,L)=K^pL^q$

Options :

6406537043701. ✗ Never exhibits decreasing returns to scale

6406537043702. ✓ Shows constant returns to scale if $p+q=1$

6406537043703. ✗ Shows increasing returns to scale if $p+q<1$

6406537043704. ✗ Has constant marginal product of capital

Question Number : 4 Question Id : 6406532166288 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The marginal product of capital (MPK) is defined as

Options :

6406537043705. ✗ a firm's total output divided by total capital input

6406537043706. ✖ the extra output produced by employing one more unit of capital while allowing other inputs to vary

6406537043707. ✔ the extra output produced by employing one more unit of capital while holding other inputs constant

6406537043708. ✖ the extra output produced by employing one more unit of labour while holding labour input constant

Question Number : 5 Question Id : 6406532166289 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The average product of labour (APL) is defined as

Options :

6406537043709. ✔ a firm's total output divided by total labour input

6406537043710. ✖ the extra output produced by employing one more unit of capital while allowing other inputs to vary

6406537043711. ✖ the extra output produced by employing one more unit of capital while holding other inputs constant

6406537043712. ✖ the extra output produced by employing one more unit of labour while holding labour input constant

Sub-Section Number : 3

Sub-Section Id : 640653398350

Question Shuffling Allowed : No

Question Id : 6406532166290 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (6 to 8)

Question Label : Comprehension

Suppose that you own and manage your own business and you are contemplating whether you should continue to operate over the next year or go out of business. If you remain in business, you will need to spend £100,000 to hire the services of workers and £80,000 to purchase supplies; if you go out of business, you will not need to incur these expenses. In addition, the business will require 80 hours of your time every week. The best alternative to managing your own business is to work the same number of hours in a corporation for an income of £75,000 per year.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 6 Question Id : 6406532166291 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the explicit cost?

Options :

6406537043713. ✖ 75,000

6406537043714. ✓ 180,000

6406537043715. ✗ 255,000

6406537043716. ✗ 100,000

Question Number : 7 Question Id : 6406532166292 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the implicit cost?

Options :

6406537043717. ✓ 75,000

6406537043718. ✗ 180,000

6406537043719. ✗ 255,000

6406537043720. ✗ 100,000

Question Number : 8 Question Id : 6406532166293 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

What is the opportunity cost of continuing the business over the next year

Options :

6406537043721. ✗ 75,000

6406537043722. ✗ 180,000

6406537043723. ✓ 255,000

6406537043724. ✗ 105,000

Sub-Section Number :

4

Sub-Section Id :

640653398351

Question Shuffling Allowed :

No

Question Id : 6406532166294 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (9 to 13)

Question Label : Comprehension

Suppose the production of airframes is characterized by a CES production

function: $Q = (L^{0.5} + K^{0.5})^2$. Suppose that the price of labour is \$10 per unit

and the price of capital is \$1 per unit.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 9 Question Id : 6406532166295 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the marginal product of labour (MPL)?

Options :

6406537043725. ✖ $(L^{0.5} + K^{0.5})L$

6406537043726. ✔ $(L^{0.5} + K^{0.5})L^{-0.5}$

6406537043727. ✖ $(L^{0.5} + K^{0.5})K^{-0.5}$

6406537043728. ✖ $(L^{0.5} + K^{0.5})K$

Question Number : 10 Question Id : 6406532166296 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is marginal product of capital (MPK)?

Options :

6406537043729. ✖ $(L^{0.5} + K^{0.5})L^{-0.5}$

6406537043730. ✖ $(L^{0.5} + K^{0.5})L$

6406537043731. ✔ $(L^{0.5} + K^{0.5})K^{-0.5}$

6406537043732. ✖ $(L^{0.5} + K^{0.5})K$

Question Number : 11 Question Id : 6406532166297 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 2

Question Label : Short Answer Question

What is the cost minimizing combination of labour and capital for an airframe manufacturer that wants to produce 121,000 airframes?

$L^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1000

Question Number : 12 Question Id : 6406532166298 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 2

Question Label : Short Answer Question

What is the cost minimizing combination of labour and capital for an airframe manufacturer that wants to produce 121,000 airframes?

$K^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

100000

Question Number : 13 Question Id : 6406532166299 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

What will be the minimum cost for this combination of Labour (L) and capital (K) _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

110000

Sub-Section Number :

5

Sub-Section Id :

640653398352

Question Shuffling Allowed :

No

Question Id : 6406532166300 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (14 to 18)

Question Label : Comprehension

Consider two goods coconut and fish with prices $P_c = 10$ and $P_f = 40$. Robin has an income $I = 1000$ and he consumes only these two goods. With the help of the plot of his budget line taking coconut on the Y-axis, answer the given subquestions.

Sub questions

Question Number : 14 Question Id : 6406532166301 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The slope of the budget line is

Options :

6406537043736. ✓ -4

6406537043737. ✗ +4

6406537043738. ✗ -1/4

6406537043739. ✖ +1/4

Question Number : 15 Question Id : 6406532166302 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Intercepts on the axis are

Options :

6406537043740. ✔ 25 on X-axis and 100 on Y-axis

6406537043741. ✖ 100 on X-axis and 25 on Y-axis

6406537043742. ✖ 50 on X-axis and 200 on Y-axis

6406537043743. ✖ 200 on X-axis and 50 on Y-axis

Question Number : 16 Question Id : 6406532166303 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If keeping income unchanged, price of the coconut is halved, what will be the new slope of the budget line

Options :

6406537043744. ✖ -2

6406537043745. ✖ +2

6406537043746. ✔ -8

6406537043747. ✖ +8

Question Number : 17 Question Id : 6406532166304 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

New intercepts on the axis are

Options :

6406537043748. ✖ 50 on X-axis and 50 on Y-axis

6406537043749. ✖ 100 on X-axis and 50 on Y-axis

6406537043750. ✔ 25 on X-axis and 200 on Y-axis

6406537043751. ✖ 200 on X-axis and 25 on Y-axis

Question Number : 18 Question Id : 6406532166305 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If income is halved keeping the original prices unchanged

Options :

6406537043752. ✖ Slope remains same and both intercepts are doubled

6406537043753. ✔ Slope remains same and both intercepts are halved

6406537043754. ✖ Slope changes and both intercepts are doubled

6406537043755. ✖ Slope changes and both intercepts remain same

Sub-Section Number : 6
Sub-Section Id : 640653398353
Question Shuffling Allowed : No

Question Id : 6406532166306 **Question Type :** COMPREHENSION **Sub Question Shuffling Allowed :** No **Group Comprehension Questions :** No **Question Pattern Type :** NonMatrix
Question Numbers : (19 to 20)

Question Label : Comprehension

A chair manufacturer hires its assembly-line labour for \$20 an hour and calculates that the rental cost of its machinery is \$30 per hour. Suppose that a chair can be produced using 5 hours of labour or machinery in any combination.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 19 **Question Id :** 6406532166307 **Question Type :** SA **Keyboard Layout :** Inscript

Correct Marks : 1

Question Label : Short Answer Question

What will be the optimal combination of labour and capital.

$L^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

5

Question Number : 20 **Question Id :** 6406532166308 **Question Type :** SA **Keyboard Layout :** Inscript

Correct Marks : 1

Question Label : Short Answer Question

What will be the optimal combination of labour and capital.

$K^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

0

Sub-Section Number : 7

Sub-Section Id : 640653398354

Question Shuffling Allowed : No

Question Id : 6406532166309 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (21 to 23)

Question Label : Comprehension

The short run cost function of a company is given by the equation $TC=300+25Q+2Q^2$, where TC is total cost and q is no. of units produced.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 21 Question Id : 6406532166310 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

What will be the average fixed cost if the company produces 100 units _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

3

Question Number : 22 Question Id : 6406532166311 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

What is the marginal cost of the company at $q=25$? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

125

Question Number : 23 Question Id : 6406532166312 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

What is the average variable cost at $q=25$? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

75